

Monthly USD/CHF Covered Interest Parity Deviations

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Abstract

This note describes the construction of monthly covered interest parity (CIP) deviation measures for the USD/CHF pair. The series combine spot and forward exchange rates with short-term USD and CHF interest-rate benchmarks. The dataset also reports an external CHF government-bond CIP benchmark from [Du, Keerati, and Schreger \(2025\)](#), sign-adjusted to match the convention used here.

1 Definition

Let S_t denote the spot exchange rate quoted in CHF per USD, and let $F_t^{(T)}$ denote the corresponding forward exchange rate for tenor T . With this quote convention, the forward-implied USD minus CHF interest-rate differential is

$$\hat{r}_{USD,t}^{(T)} - \hat{r}_{CHF,t}^{(T)} = -\frac{1}{T} \log \left(\frac{F_t^{(T)}}{S_t} \right). \quad (1)$$

The CIP deviation is defined as the difference between the observed interest-rate differential and the forward-implied differential:

$$b_t^{(T)} = \left(r_{USD,t}^{(T)} - r_{CHF,t}^{(T)} \right) - \left[-\frac{1}{T} \log \left(\frac{F_t^{(T)}}{S_t} \right) \right]. \quad (2)$$

The published series report $10000 \times b_t^{(T)}$, so values are annualized basis points.

2 Data

The exchange-rate data are from the Swiss National Bank and include USD/CHF spot, three-month forward, and six-month forward rates. The modern risk-free-rate measures

use SOFR from FRED and SARON compound rates from the Swiss National Bank. The legacy measure uses USD and CHF LIBOR series. A government-rate proxy combines the 3-month US Treasury constant-maturity yield from FRED with the Swiss Confederation money-market series from the Swiss National Bank.

The external benchmark is the CHF three-month government-bond CIP series from [Du, Keerati, and Schreger \(2025\)](#), which extends the government-bond CIP datasets used in [Du and Schreger \(2016\)](#) and [Du, Im, and Schreger \(2018\)](#). In that dataset, `cip_govt` is defined as the foreign government yield minus the market-implied forward premium minus the matched U.S. Treasury yield. For the three-month tenor, the forward premium is based on the outright forward and spot exchange rates quoted in units of foreign currency per U.S. dollar. This convention is reversed relative to the USD-minus-CHF definition above, so the benchmark is multiplied by -1 before being plotted with the series constructed here. The benchmark is useful for comparison, but it is not mechanically identical to the short-rate proxy because it is based on government-bond yield inputs and therefore also reflects convenience-yield, sovereign-risk, and market-segmentation components.

3 Series and Benchmarking

The public dataset contains four constructed short-rate basis measures. These are the three-month SOFR-SARON basis, the six-month SOFR-SARON basis, the three-month LIBOR basis, and a three-month government-rate proxy. They are related but distinct measures and should not be treated as interchangeable. As emphasized by [Du, Tepper, and Verdelhan \(2018\)](#), CIP deviations differ across benchmark markets and reflect the interaction of funding, hedging, and balance-sheet constraints. The accompanying validation table reports correlations between the constructed series and the external government-bond benchmark over several overlapping windows.

4 Chart

Figure 1 plots the monthly basis measures in basis points, together with the sign-adjusted external benchmark.

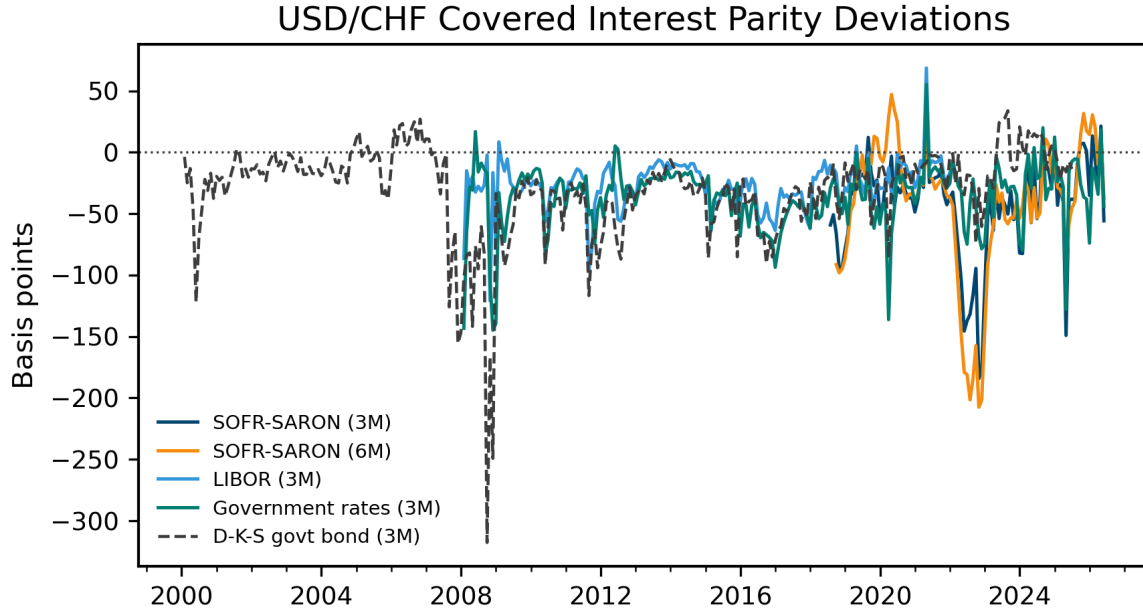


Figure 1: Monthly USD/CHF covered interest parity deviations

5 Replication

The replication script downloads public data from the Swiss National Bank, FRED, and the Du-Keerati-Schreger government-bond CIP dataset, computes the series, writes source diagnostics and benchmark correlations, and regenerates the chart.

References

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